



HP Can Boost SOA Offerings with Acquisition of Mercury

Market Event

Hewlett-Packard is acquiring Mercury Interactive, a leader in information technology optimization software. IT buyers, meanwhile, are asking if HP can win the time-to-market race and extend OpenView's breadth at the same time.

Aberdeen Analysis

Putting HP and Mercury Together

This move is potentially highly accretive to HP's OpenView offering around system and network management software for the data center. With the IT industry rush to service-oriented architecture (SOA) decidedly underway, Mercury brings important capabilities to OpenView in SOA management (which Mercury gained through its acquisition of Systinet in January), governance, performance, and development life-cycle. This takes HP a giant step closer to competing on a level playing field with **IBM**, and distances the company from competitors the likes of **CA** and **BMC**.

HP is already one of the major enterprise service management suppliers with OpenView, and Mercury, which has built out its IT optimization products from a development lifecycle base, adds significant functionality (Table 1). While, on the surface, the products have a number of overlapping areas, they are in large part highly complementary, making the task of functional integration far simpler. Mercury also brings developer-oriented capabilities such as application mapping and a test quality center.

Table 1: Mapping HP OpenView and Mercury IT Optimization Products

HP OpenView Facilities	Mercury Interactive IT Optimization Facilities
Application Management	N.A.
Asset Management	N.A.
Business Service Management	Business Availability
Configuration Management	Change Control Management
Consolidated Event & Performance Management	Business Availability Center and Performance Center
Consolidated Service Desk	Service Desk
Identity Management	N.A.
IT Compliance and Governance	IT Governance Center
IT Service Management	N.A.
Network Service Management	N.A.
Service Oriented Architecture (SOA)	SOA (especially Systinet registry)
	Application Mapping
	Quality Center

Source: AberdeenGroup, July 2006

Service-Oriented Architecture (SOA) Technology

With our recent research showing that 90% of all companies will exit 2006 with SOA activities at least underway — and many large enterprises with more than a year's development experience ([ESB and SOA Middleware](#), June, 2006) — SOA is at the heart of many software buying plans. This fact was supported recently by IBM's positive growth and financial performance in this area.

SOA involves a new way of developing applications, affecting the entire design-code-test-deploy-maintain application lifecycle. The SOA operating environment is different too, and requires new capabilities to monitor and manage the SOA infrastructure and the application “services” running within it. Mercury's developer heritage brings a tremendous new developer perspective to OpenView, which is now operations-focused.

Information Technology Governance

Less exciting, but potentially important strategically, is the IT governance capabilities Mercury brings to complement OpenView. IT governance software will help some of HP's largest customers. Aberdeen Group recommended a focus on IT governance as one requirement for a successful enterprise SOA strategy ([The SOA in IT Benchmark Report](#), December 2005). However, the subject of IT governance has no firm definition. Our research shows IT governance means different things to buyers: **regulatory compliance** — especially Sarbanes-Oxley 404 in the U.S.; **policy compliance**, and **alignment of IT assets** with business strategies and objectives. Moreover, IT governance, whatever it means, is not top of mind in our survey research, especially among small and mid-size companies.

AberdeenGroup expects increased visibility and demand for IT governance going forward. But today, our research suggests the bulk of the market needs considerable education.

Enterprise Systems Management

Mercury products will improve HP's SOA management environment and add needed developer-centric facilities to OpenView when HP integrates the companies' products. OpenView is already a trusted cross-platform product at many enterprises, extending far beyond HP's hardware customers. Likewise, Mercury's LoadRunner is widely used to test and monitor complicated enterprise applications, infrastructure, and client-server performance.

Representative Competition

<u>Governance & Compliance</u>	<u>Enterprise Systems Management</u>
Amberpoint	BMC
CA	CA
Compuware	IBM Tivoli
IBM Rational	Microsoft
Planview	Sun
Progress Actional	

With the Mercury Systinet repository and other Mercury facilities integrated with OpenView, HP will have a better product proposition to market against the enterprise systems management (ESM) powerhouses: **CA** and **IBM Tivoli**.

Where HP-Mercury Are Best Suited

HP and Mercury already support a wide variety of platforms, especially Unix, Linux, and Microsoft Windows Server. Both HP OpenView and Mercury's IT optimization products are best suited to large enterprises with complex networks, application integration issues, many IT development projects and installed systems, and multi-site computing. Small companies (less

than \$50 million in annual revenue) are unlikely to have such complex and diverse IT environments, and typically start a product acquisition cycle with **Microsoft** at the top of the list.

Will HP Challenge IBM in Mainframe Systems Management?

Where HP is less attractive, even with the extended capabilities the Mercury products will add, is with larger companies that have mixed computing environments, including mainframes. While OpenView today can remotely monitor and manage a zOS environment on an IBM System z mainframe, HP has not committed whether a further penetration in mainframe systems management will be a core focus.

Aberdeen's most recent survey indicates mainframes are heavily involved in enterprise-size company (at least \$1 billion) SOA plans. It's hard to see HP leading the pack unless it can better embrace mainframes, and hence be suitable for *all* of the commonly deployed enterprise servers.

Aberdeen Recommendations

Aberdeen believes the acquisition will bring strength to the HP offering for IT system and application management, especially in SOA development, and generally will yield positive results to the user community at large.

Integration is the Key

One key to the success of an HP-Mercury merger is how quickly and successfully the two companies can rationalize and deliver integrated software to the market. Given the complementary nature of the offerings and underlying technology, this should not be as formidable a challenge as past acquisitions have presented. Perhaps the bigger challenge will be assimilating the culture of the 3,000-person Mercury organization into the HP family. Large turnover in the workforce could delay deliverables, compromise the intellectual property, and undermine the time it will take for the acquisition to strengthen HP in this market. HP and Mercury customers will want to look closely at the proposed product roadmap moving forward and the timetable for associated deliverables.

One distraction HP will have to contend with regarding the OpenView integration cycle (scheduled to take place over the next 18 months), is the customer's distraction at dealing with the introduction of **Microsoft** Windows Vista and Vista Server.

What's Next

With this announcement, HP has clearly demonstrated a commitment to the IT community that is — arguably — beyond reproach. While it will take some time to digest this size deal, it's highly likely that HP will remain on the acquisitive path. If HP has its sights on IBM (and the Mercury deal certainly takes it one large step closer), drawing on the relationship Mercury had with **BEA** would make for interesting discussions among new and old HP employees.

Related Research

[*The Enterprise Service Bus and SOA Middleware*](#); June 2006

[*SOA Success Starts with IT Success*](#); November 2005

[*The Service-Oriented Architecture \(SOA\) in IT Benchmark Report*](#); December 2005

[*Enterprise Applications: Build or Buy?*](#); June 2006

[*Information Governance: A Much Needed Framework*](#); May 2006

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